

ALL CAMS DOMAINS

HARD QUESTIONS & EXAM TRAPS FROM ALL IMAGES

Everything You Get Wrong Explained in Detail

Domain A: VASP û Crypto û FATF Recs û Sanctions û DORA û Investment Banking

Domain B: MLAT û PPP û FATF IOs û AMLA û Three Lines û EWRA

Domain C: AML Policy û Board Oversight û PEP EDD û SOW/SOF û SAR/STR

Domain D: Transaction Monitoring û OSINT û Data Lineage û AI/ML û Clustering

VASP FATF Rec 15 & MiCA The Crypto Trap

The Scenario CAMS Exam Favorite

A startup in Germany plans to issue a new crypto token and market it throughout the EU.

The Hard Question

What step must it take under MiCA regulations?

✓ **CORRECT: Publish a crypto-asset white paper and notify the national authority.**

Why This Is a TRAP

- ▶ Seek regulatory approval in each EU country **NO**. MiCA is **harmonized** one notification, not each country.
- ▶ Register with FATF **NO**. FATF is standard-setter, not regulator.
- ▶ **MiCA (Markets in Crypto-Assets)** = EU crypto regulation.
- ▶ **White paper requirement:** Must publish detailed disclosure document.
- ▶ **Notification:** Notify the national competent authority in home country.
- ▶ **Passporting:** Once approved, can operate across all EU countries.
- ▶ **FATF Rec 15:** VASPs must be licensed/registered and apply AML/CFT.

REMEMBER: Key Rule: MiCA = white paper + one national notification. Passporting across EU.

The Hard Question CAMS Exam Favorite

Which technologies enhance authentication and security in financial systems? (Select Three.)

✓ **CORRECT: 1. Multi-factor authentication. 2. Physiological biometrics. 3. Behavioral biometrics.**

Why This Is a TRAP

- ▶ Password biometrics **NOT** a recognized category. Passwords are **not** biometrics.
- ▶ **Multi-factor authentication (MFA)** = multiple factors (something you know, have, are).
- ▶ **Physiological biometrics** = physical traits (fingerprint, facial recognition, iris scan, voice).
- ▶ **Behavioral biometrics** = behavioral patterns (typing rhythm, mouse movements, gait).
- ▶ Password biometrics = **trick answer** there is no such thing.
- ▶ **Deeepfake detection:** Tools that detect light/skin texture inconsistencies and liveness prompts (blink, smile).

REMEMBER: Key Rule: MFA + physiological biometrics + behavioral biometrics = correct. "Password biometrics" = trap.

MLAT The Admissibility Trap

The Scenario CAMS Exam Favorite

Two countries, A and B, are establishing an MLAT. Country A has **data protection rules** preventing sharing of client identities. Country B bases investigations on **beneficial ownership disclosures**.

The Hard Question

What challenge is most likely to arise in implementing the MLAT?

✓ **CORRECT:** Evidence exchanged under the MLAT will NOT be admissible in Country B's legal system.

Why This Is a TRAP

- ▶ Country A's data protection rules will prevent sharing. This is **obvious**. The **real** issue is **admissibility**, not sharing.
- ▶ **Admissibility** is the **legal standard** for evidence in court.
- ▶ Even if Country A **shares** the data, Country B's courts may **reject** it if it doesn't meet their evidentiary standards.
- ▶ MLATs must address both **sharing** AND **admissibility**.
- ▶ This is why **chain of custody** and **evidence handling** are critical in MLATs.

REMEMBER: Key Rule: MLAT challenge is **admissibility**, not just sharing. Evidence must be legally usable.

PPP The Real-Time Intelligence Trap

The Scenario CAMS Exam Trap

An FIU wants to use the PPP model for **real-time intelligence sharing** to disrupt a terrorist financing network.

The Hard Question

Which approach is most aligned with PPP goals?

✓ **CORRECT:** Establishing a formal platform with direct two-way communication on specific threats.

Why This Is a TRAP

- ▶ Anonymized, aggregated format after threat is resolved This is **after-the-fact reporting**, NOT real-time sharing.
- ▶ PPP is about **DISRUPTION**, not post-mortem analysis.
- ▶ **Direct two-way communication** = real-time = can **prevent** crimes.
- ▶ Anonymized reporting **protects privacy** but **doesn't enable disruption**.
- ▶ **Examples:** UK JMLIT, Australia Fintel, Singapore ACIP.

REMEMBER: Key Rule: PPPs are about **real-time** intelligence sharing to **disrupt** active threats.

EU Directives The Transposition Trap

The Hard Question CAMS Exam Favorite

Which best describes a major shortcoming of early European AML Directives that prompted later revisions?

✓ **CORRECT:** Failure to ensure timely and complete transposition by all member states.

Why This Is a TRAP

- ▶ Lack of precise definitions for predicate offenses **NOT** the main shortcoming.
- ▶ Directives **require transposition** into national law.
- ▶ Some countries **delayed** transposition or did it **poorly**.
- ▶ **Consequence:** Regulatory arbitrage criminals exploited weak AML in certain EU countries.
- ▶ **Lesson:** Harmonization requires **enforcement** of transposition.
- ▶ **3rd Directive (2005):** Incorporated FATF Recs.
- ▶ **4th Directive (2015):** Required BO registers.
- ▶ **5th Directive (2018):** Extended to crypto/prepaid.
- ▶ **6th Directive (2020):** Harmonized offenses and penalties.

REMEMBER: Key Rule: Early EU directives failed due to **poor transposition** and **regulatory arbitrage**.

AMLA The Supervisory Authority Trap

The Scenario CAMS Exam Favorite

An EU-based fintech operates online account services in **5 member states** and has been flagged for non-compliance by **more than one regulator**.

The Hard Question

Which supervisory authority is most likely to assume oversight?

✓ **CORRECT: The AMLA, due to the firm's cross-border nature and risk profile.**

Why This Is a TRAP

- ▶ National regulator of headquarters This is **traditional** supervision, but AMLA changes this.
- ▶ National regulator with most customers Not a valid basis.
- ▶ **AMLA (Anti-Money Laundering Authority)** = new EU body (established 2024).
- ▶ **Direct supervision:** AMLA directly supervises selected **cross-border financial institutions**.
- ▶ Flagged by **multiple regulators** = cross-border risk = AMLA jurisdiction.
- ▶ **Coordination:** AMLA coordinates national supervisors for consistent supervision.

REMEMBER: Key Rule: AMLA = **centralized supervision** for cross-border, high-risk EU institutions.

DORA The Centralized Oversight Trap

The Hard Question CAMS Exam Favorite

A cross-border bank operating in several EU countries is reviewing its digital risk governance. What action best aligns with DORA?

✓ **CORRECT: Centralizing oversight of ICT risk management across all member-state branches.**

Why This Is a TRAP

- ▶ Relying on each national regulator's cybersecurity requirements **Insufficient**. DORA mandates **pan-European** oversight.
- ▶ **Centralized** = unified governance across all EU operations.
- ▶ **Not** just compliance with each country's rules.
- ▶ Requires **single** ICT risk governance framework for the entire group.
- ▶ Key requirements:
 1. ICT Risk Governance Framework (unified)
 2. ICT Risk Assessments
 3. Incident Reporting
 4. Third-Party ICT Provider Management
 5. Resilience Testing (threat-led penetration testing)
 6. Information Sharing

REMEMBER: Key Rule: DORA = **centralized** ICT oversight. National rules are **not enough**.

TCSP The Confidentiality Trap

The Scenario CAMS Exam Favorite

A TCSP firm is reviewing whether to accept a client who wants to incorporate in a low-tax Caribbean jurisdiction. The client requests confidentiality protections for all shareholders. A connection is identified to industries marked high-risk in the NRA.

The Hard Question

What should the TCSP response be?

✓ **CORRECT:** Decline immediately unless full beneficial owner information and risk justifications are disclosed and verified.

Why This Is a TRAP

- ▶ Refer to offshore local counsel and detach from compliance responsibility **NO**. TCSP retains compliance responsibility.
- ▶ Accept with standard CDD **NO**. High-risk indicators require EDD or decline.
- ▶ Confidentiality requests + high-risk industries = significant red flags.
- ▶ FATF Rec 24/25: BO identification is mandatory.
- ▶ Offloading responsibility to local counsel = **not** a valid risk mitigation strategy.
- ▶ Alternative: Refer to internal high-risk committee for EDD before acceptance.

REMEMBER: Key Rule: TCSP cannot outsource AML responsibility. Decline unless BO info is disclosed and verified.

PEP EDD The Domestic/Foreign Trap

The Hard Question CAMS Exam Favorite

Which controls would be suitable when onboarding a PEP? (Select Three.)

✓ **CORRECT:** 1. Conducting source of wealth checks. 2. Running checks against sanctions and watchlists. 3. Mandating senior management-level approval.

Why This Is a TRAP

- ▶ Standard CDD only **NO**. PEPs require EDD.
- ▶ **Foreign PEPs:** Mandatory EDD (FATF Rec 12).
- ▶ **Domestic PEPs:** Risk-based apply EDD if high risk.
- ▶ **SOW/SOF:** Must verify source of wealth and source of funds.
- ▶ **Sanctions/watchlists:** Must screen against all lists.
- ▶ **Senior approval:** Senior management must approve the relationship.
- ▶ **Ongoing monitoring:** Enhanced transaction monitoring and regular reviews.

REMEMBER: Key Rule: Foreign PEPs = **mandatory EDD**. Domestic PEPs = **risk-based EDD**.

SOW vs SOF The Critical Distinction

The Hard Question CAMS Exam Favorite

What is the difference between Source of Wealth and Source of Funds?

The Critical Distinction

Source of Wealth (SOW)	Source of Funds (SOF)
<i>How did you get your money?</i>	<i>Where did this specific money come from?</i>
Overall wealth accumulation	Specific funds for the transaction
Inheritance, business profits, investments	Sale of property, business sale, salary
Broad picture	Specific transaction
Required for EDD (PEPs, high-risk)	Required for EDD (PEPs, high-risk)

The TRAP

- ▶ SOW and SOF are the same **NO**. Different concepts.
- ▶ SOF is more important **BOTH** are required for EDD.
- ▶ **SOW** = overall wealth picture (how did you accumulate wealth?).
- ▶ **SOF** = where the specific funds came from (for this specific transaction).
- ▶ **BOTH** must be verified for high-risk clients.
- ▶ **Example:** SOW = inheritance from parents. SOF = sale of inherited property.

REMEMBER: Key Rule: SOW = overall wealth. SOF = specific funds. Both required for EDD.

OFAC The Sanctions Trap

The Hard Question CAMS Exam Favorite

What is the primary focus of the Office of Foreign Assets Control (OFAC) in U.S. financial regulation?

✓ **CORRECT: Issuing and enforcing economic and trade sanctions.**

Why This Is a TRAP

- ▶ Regulating anti-money laundering programs That's **FinCEN**, not OFAC.
- ▶ Supervising banks That's **Federal Reserve/OCC**, not OFAC.
- ▶ **OFAC = sanctions enforcement.**
- ▶ **SDN List:** Specially Designated Nationals and Blocked Persons.
- ▶ **50% Rule:** If sanctioned entity owns 50%+ of another entity, that entity is also blocked.
- ▶ **Strict liability:** No intent required if you process a transaction with a sanctioned entity, you're liable.
- ▶ **Key distinction:** OFAC = sanctions. FinCEN = AML/BSA.

REMEMBER: Key Rule: OFAC = **sanctions enforcement**. FinCEN = **AML/BSA**. Don't confuse them.

PSP The Customization Trap

The Scenario CAMS Exam Favorite

A PSP is planning to offer new services targeting small merchants in multiple countries, some of which lack mature AML frameworks.

The Hard Question

Which strategy is most appropriate to maintain compliance and mitigate risk?

✓ **CORRECT: Customize AML policy and onboarding procedures per jurisdiction and product.**

Why This Is a TRAP

- ▶ Apply home-country AML standards across all jurisdictions **NO**. One-size-fits-all fails.
- ▶ **Jurisdiction-specific:** High-risk jurisdictions = EDD, transaction limits, or restricted services.
- ▶ **Product-specific:** Low-value vs high-value products have different risk profiles.
- ▶ **Risk-based approach:** Apply proportionate measures based on risk.
- ▶ **FATF Rec 1:** Risk-based approach requires tailoring to specific risk profiles.

REMEMBER: Key Rule: PSPs must **customize** AML per jurisdiction and product. One-size-fits-all fails.

High-Value Assets The Crypto Red Flag Trap

The Hard Question CAMS Exam Favorite

Which red flag is most commonly associated with abuse of high-value assets for laundering purposes?

✓ **CORRECT: Making payments for high-value items in cryptocurrency.**

Why This Is a TRAP

- ▶ Purchasing assets with complex financing plans spanning several years This **can** be a red flag, but crypto is **more directly** associated with laundering.
- ▶ **Cryptocurrency offers pseudonymity**, making it attractive for illicit payments.
- ▶ **High-value items:** Real estate, art, luxury cars purchased with crypto = suspicion.
- ▶ **Challenge:** Volatility and price fluctuations complicate source-of-funds verification.
- ▶ **Additional red flags:** Foreign PEPs purchasing multiple properties via trust companies.
- ▶ **Complex financing** = could be legitimate; **crypto payments** = more direct ML indicator.

REMEMBER: Key Rule: Crypto payments for high-value assets = **primary red flag**.

Casino AML Controls The Selection Trap

The Hard Question CAMS Exam Favorite

Which control measures help mitigate AML risks in casinos? (Select Two.)

- ✓ **CORRECT:** 1. Enforcing chip redemption policies tied to minimum gaming thresholds.
2. Tracking player activity through registered loyalty programs.

Why This Is a TRAP

- ▶ Monitoring unstructured table gameplay for win/loss patterns This is a **monitoring technique**, not a formal control measure.
- ▶ **Chip redemption policies:** Prevents "chip washing" exchanging chips for cash without meaningful gaming activity.
- ▶ **Thresholds:** US \$10,000 triggers reporting.
- ▶ **Loyalty programs:** Provide rich data on player behavior (wins, losses, session durations).
- ▶ **Enables:** Tracking of anomalies and suspicious patterns.
- ▶ **Unstructured monitoring** = too granular and not a formal control.

REMEMBER: Key Rule: Casino controls = chip redemption policies + loyalty program tracking.

E-Commerce Monitoring The Volume Trap

The Hard Question CAMS Exam Favorite

Why is transaction monitoring particularly challenging in an e-commerce risk context?

✓ **CORRECT:** High transaction volumes and decentralized payments make patterns harder to detect.

Why This Is a TRAP

- ▶ Transactions are always small and therefore low-risk **NO**. Small transactions can still be suspicious.
- ▶ **High volume:** Millions of transactions daily traditional rules-based monitoring generates too many false positives.
- ▶ **Decentralized payments:** Multiple payment gateways, cryptocurrencies, digital wallets.
- ▶ **Consequence:** Patterns are harder to detect.
- ▶ **Mitigation:**
 - ▶ Use AI/ML models to detect anomalies
 - ▶ Segment data by merchant, payment method, product
 - ▶ Implement network analysis to identify patterns
- ▶ **Additional risks:** Goods/services as ML vehicles (high-value goods purchased with illicit funds).

REMEMBER: Key Rule: E-commerce challenge = **high volume** + **decentralized payments** = patterns harder to detect.

Data Lineage The Transparency Trap

The Hard Question CAMS Exam Favorite

Which support transparency and auditability through data lineage? (Select Two.)

✓ **CORRECT: 1. Maintaining history of data transformations. 2. Capturing source of each data field.**

Why This Is a TRAP

- ▶ Archiving analyst notes from alert reviews This is **case documentation**, NOT data lineage.
- ▶ Deleting outdated data annually **Undermines** auditability.
- ▶ **Data lineage:** Tracking the **flow of data** from source to destination.
- ▶ **History of transformations:** Shows how data was modified.
- ▶ **Source of each field:** Shows where data originated.
- ▶ **Why it matters:**
 - ▶ Regulatory audit: Regulators want to see where data came from
 - ▶ Model validation: Need to trace data inputs to models
 - ▶ Error correction: Trace errors back to source
 - ▶ SAR filing: Need to verify accuracy of reported data

REMEMBER: Key Rule: Data lineage = **transformations history** + **source of each field**. NOT case notes.

Data Validation The Objectives Trap

The Hard Question CAMS Exam Favorite

Which are typical objectives of data validation and testing in AFC systems? (Select Three.)

- ✓ **CORRECT:** 1. Ensuring data inputs reflect actual customer and transaction behaviors. 2. Verifying that automated controls are functioning correctly based on input quality. 3. Testing whether controls generate alerts under appropriate risk conditions.

Why This Is a TRAP

- ▶ Confirming reports are generated in a format preferred by third-party vendors **NOT** a validation objective.
- ▶ **Data inputs reflect actual behavior:** Test that data from source systems accurately feeds into AML systems.
- ▶ **Controls functioning correctly:** Validate that transaction monitoring rules fire alerts correctly.
- ▶ **Alerts under risk conditions:** Use known test cases to validate system logic.
- ▶ **Key principle:** Data validation ensures **accuracy** and **effectiveness** of AML controls.
- ▶ **Vendor preference** is **NOT** a regulatory or control objective.

REMEMBER: Key Rule: Data validation = accuracy of inputs + control functionality + appropriate alerts.

Clustering The Behavioral Trap

The Hard Question CAMS Exam Favorite

Which are characteristics of clustering as used in compliance analytics? (Select Two.)

✓ **CORRECT:** 1. It groups entities by shared behavioral characteristics. 2. It identifies connections across multiple transaction types.

Why This Is a TRAP

- ▶ It excludes outliers to reduce financial crime risk **NO**. Outliers are often the **most suspicious** excluding them would be counterproductive.
- ▶ **Clustering:** Groups entities that exhibit similar behaviors.
- ▶ **Purpose:** Detect networks of criminal activity (money mule networks, organized crime).
- ▶ **Connections across transaction types:** Links separate accounts that exhibit similar patterns.
- ▶ **Does NOT:** Eliminate false positives, file SARs automatically, or replace manual review.
- ▶ **Does:** Reveal shared patterns among entities.

REMEMBER: Key Rule: Clustering = shared behavioral characteristics + connections across transaction types.

The Hard Question CAMS Exam Favorite

Which benefits are associated with digital onboarding technology according to FATF? (Select Two.)

✓ **CORRECT: 1. Lower cost and increased auditability. 2. Greater accountability in compliance processes.**

Why This Is a TRAP

- ▶ Elimination of human review requirements for high-risk customers **NO**. High-risk customers **still require** human review and EDD.
- ▶ **Lower cost**: Automation reduces manual effort.
- ▶ **Increased auditability**: Digital records are easier to track and audit.
- ▶ **Greater accountability**: Clear audit trails of who did what.
- ▶ **NOT**: Elimination of human review human judgment is still required, especially for high-risk cases.
- ▶ **FATF**: Recognizes digital onboarding as beneficial for efficiency and inclusion.

REMEMBER: Key Rule: Digital onboarding = **lower cost + auditability + accountability**. NOT elimination of human review.

Perpetual KYC The Trigger-Based Trap

The Hard Question CAMS Exam Favorite

Which feature most effectively distinguishes perpetual KYC from traditional periodic KYC reviews?

✓ **CORRECT: Trigger-based updates rather than fixed calendar reviews.**

Why This Is a TRAP

- ▶ It eliminates all manual review **NO**. Human review is still required.
- ▶ It requires less customer data **NO**. It requires the same data, updated more frequently.
- ▶ **Perpetual KYC (pKYC):** Continuous, event-driven KYC refresh.
- ▶ **Triggers:**
 - ▶ Changes in PEP status
 - ▶ Adverse media hits
 - ▶ Unusual transaction patterns
 - ▶ Jurisdictional risk changes
 - ▶ Significant changes in customer profile
- ▶ **Benefits:**
 - ▶ Reduces customer friction (fewer repeated KYC requests)
 - ▶ Improves accuracy (updates in real-time)
 - ▶ Ensures timely EDD (when risk changes)

REMEMBER: Key Rule: pKYC = **trigger-based updates**, not fixed calendar reviews.

Deepfake Detection The Liveness Trap

The Scenario CAMS Exam Favorite

A fraudster used a high-resolution image and a deepfake video to bypass facial recognition verification.

The Hard Question

What tools could have prevented this fraud attempt? (Select Two.)

✓ **CORRECT:** 1. Use of software that can detect inconsistencies in light or skin texture. 2. Prompts for the customer to blink, smile, or repeat a phrase.

Why This Is a TRAP

- ▶ Real-time fraud risk scoring algorithms using behavioral analytics This is **behavioral analytics**, not deepfake detection.
- ▶ **Texture analysis:** Deepfakes often have inconsistencies in light, skin texture, and shadows.
- ▶ **Active liveness prompts:** Blink, smile, repeat a phrase requires real-time action.
- ▶ **Passive liveness:** Analyzes subtle facial movements without user action.
- ▶ **Active liveness is MORE secure** against deepfakes than passive.
- ▶ **Key distinction:** Behavioral analytics = monitoring behavior; liveness detection = verifying live presence.

REMEMBER: Key Rule: Deepfake detection = texture analysis + active liveness prompts.

The Hard Question CAMS Exam Favorite

What should AML-sensitive communications materials emphasize to reduce risk? (Select Two.)

- ✓ **CORRECT:** 1. Avoid mentioning any internal reviews, even if prompted by the customer.
2. Use pre-approved scripts when addressing service disruptions caused by internal reviews.

Why This Is a TRAP

- ▶ Refer customers to the AML department for financial advice **NO**. AML department doesn't give financial advice.
- ▶ **Avoid mentioning internal reviews:** This prevents tipping off.
- ▶ **Pre-approved scripts:** Ensures consistent, compliant messaging.
- ▶ **Tipping off risk:** Even hinting at an investigation can be tipping off.
- ▶ **Key principle:** Customer-facing staff must **not** reveal any AML-related investigations.
- ▶ **Best practice:** Have scripts for common scenarios (account holds, transaction delays).

REMEMBER: Key Rule: AML communications = avoid mentioning reviews + use pre-approved scripts.

Entity Resolution The Blockchain Trap

The Hard Question CAMS Exam Favorite

How does entity resolution improve blockchain analytics for on-chain behavior monitoring?

✓ **CORRECT:** It links data from multiple sources to improve match accuracy.

Why This Is a TRAP

- ▶ It replaces all manual reviews **NO**. It's a tool, not a replacement.
- ▶ It eliminates false positives entirely **NO**. It reduces them but doesn't eliminate them.
- ▶ **Entity resolution:** Links on-chain wallet addresses to off-chain risk data.
- ▶ **Multiple sources:** Wallet addresses, KYC data, sanctions lists, PEP lists, adverse media.
- ▶ **Example:** A wallet address associated with ransomware is linked to an exchange account.
- ▶ **NOT just name matching:** It's about linking **multiple identifiers** across systems.
- ▶ **Improves match accuracy:** Reduces false positives and false negatives.

REMEMBER: Key Rule: Entity resolution = links data from multiple sources to improve match accuracy.

SAR/STR The Threshold Trap

The Hard Question CAMS Exam Favorite

Is there a minimum amount for SAR/STR filing?

✓ **CORRECT: No minimum amount** file based on reasonable suspicion.

Why This Is a TRAP

- ▶ \$5,000 minimum That's a **US SAR threshold** (FIs), but NOT universal.
- ▶ \$10,000 minimum That's **CTR**, not SAR.
- ▶ **SAR/STR = reasonable suspicion**, NOT amount.
- ▶ **Attempted transactions:** Must be reported (even if not completed).
- ▶ **Structuring:** Must be reported (even if small amounts).
- ▶ **UK STR:** No minimum.
- ▶ **US SAR:** \$5,000+ for most FIs, but suspicious activity below threshold may still be filed.
- ▶ **Key principle:** Suspicion drives filing, NOT amount.

REMEMBER: Key Rule: SAR/STR = **reasonable suspicion**, NOT amount. No minimum required.

ALL DOMAINS Hardest Exam Traps Summary

Top 20 Traps MUST KNOW FOR CAMS

1. **VASP/MiCA:** White paper + one notification, NOT each country.
2. **Authentication:** Password biometrics = TRAP. Use MFA + physiological + behavioral.
3. **MLAT:** Challenge is **admissibility**, not just sharing.
4. **PPP:** Real-time two-way communication, NOT post-hoc anonymized reporting.
5. **EU Directives:** Failure = **poor transposition**, not lack of definitions.
6. **AMLA:** Cross-border, high-risk = AMLA, not national regulators.
7. **DORA:** Centralized ICT oversight, NOT just national cybersecurity.
8. **TCSP:** Cannot outsource AML responsibility. Decline unless BO disclosed.
9. **PEP EDD:** Foreign = mandatory. Domestic = risk-based.
10. **SOW vs SOF:** SOW = overall wealth. SOF = specific funds. Both required.
11. **OFAC:** Sanctions enforcement. FinCEN = AML/BSA.
12. **PSP:** Customize per jurisdiction, NOT one-size-fits-all.
13. **High-Value Assets:** Crypto payments = primary red flag.
14. **Casino:** Controls = chip redemption + loyalty program tracking.
15. **E-Commerce:** Challenge = high volume + decentralized payments.
16. **Data Lineage:** Transformations history + source of each field.
17. **Data Validation:** Accuracy + control functionality + appropriate alerts.
18. **Clustering:** Shared behaviors + connections across transaction types.
19. **Digital Onboarding:** Lower cost + auditability. NOT elimination of human review.
20. **Perpetual KYC:** Trigger-based updates, NOT fixed calendar reviews.

REMEMBER: Final Rule: Understand the **why** behind each concept. The exam tests **application**, not memorization.

ALL CAMS DOMAINS COMPLETE

Hard Questions & Exam Traps from All Images

Domain A: VASP ∩ Crypto ∩ FATF Recs ∩ Sanctions ∩ DORA

Domain B: MLAT ∩ PPP ∩ FATF IOs ∩ AMLA ∩ Three Lines

Domain C: AML Policy ∩ Board Oversight ∩ PEP EDD ∩ SOW/SOF

Domain D: Monitoring ∩ OSINT ∩ Data Lineage ∩ AI/ML ∩ Clustering

All traps explained. All concepts covered. Ready for the exam.